

LEGEND™ LEGACY PROTECTION

Fixed Annuities — Structured Growth & Guaranteed Income Planning Guide

A fixed annuity is an insurance contract designed to grow money on a tax-deferred basis and/or convert assets into a predictable stream of payments. Guarantees are backed by the issuing insurer's claims-paying ability and the specific terms written in the contract.

What “Fixed” Means

- **Predictability:** A declared or guaranteed crediting approach that is not tied to daily market performance.
- **Contract-based guarantees:** Interest crediting and/or income payments follow the contract terms (not a stock index).
- **Not a bank product:** Fixed annuities are not FDIC-insured deposits; they are insurance contracts.

Common Types of Fixed Annuities

- **Fixed Deferred Annuity:** Grows during an accumulation period; income can be started later.
- **MYGA (Multi-Year Guaranteed Annuity):** A fixed deferred annuity with a guaranteed rate for a set term (often 3–10 years).
- **Immediate Fixed Annuity (SPIA):** Converts a lump sum into payments that start soon after purchase.
- **Deferred Income Annuity (DIA):** Funds now, starts guaranteed income later (longevity planning).
- **Note:** This guide focuses on fixed annuities (not variable annuities, which are securities).

Why People Use Fixed Annuities

These are the most common, fact-based reasons fixed annuities are used in retirement strategy.

1) Tax-Deferred Growth

Growth inside a non-qualified annuity is generally tax-deferred. When money is withdrawn, gains are generally taxed as ordinary income. Withdrawals taken before age 59½ may be subject to a 10% additional federal tax on the taxable portion (unless an exception applies).

2) Income You Can Build a Retirement Plan Around

Fixed annuities can be structured to provide predictable payments for a set period or for life. This can help cover baseline retirement expenses alongside Social Security and other income sources.

3) Principal Stability for the “Sleep-Well” Bucket

Many clients use fixed annuities for the portion of their plan where they want more stability and less market exposure—especially when nearing retirement or after a major life transition.

4) Pension-Style Discipline

Fixed income payments can reduce the pressure to time markets or sell assets during downturns. The goal is consistency, not chasing returns.

Key Components to Review Before Buying

This is the “read the contract” section. It protects the client and it protects you.

Core Contract Mechanics

- Premium / Deposit: Single premium (common) or flexible premium, depending on the product.
- Crediting Method: A declared rate or guaranteed rate for a stated term (varies by contract).
- Surrender Charge Period: A period where withdrawals above the contract’s free-withdrawal amount can trigger charges.
- Free Withdrawal Provision: Many contracts allow limited penalty-free access each year; the percentage varies by contract.
- Market Value Adjustment (MVA): Some fixed annuities apply a positive or negative adjustment if you withdraw during the surrender period.
- Annuitization / Payout Options: Life-only, joint life, period certain, and other structures (availability varies).

Tax Rules That Must Be Disclosed

- Non-qualified annuities: Earnings are generally taxed as ordinary income when withdrawn.
- Before age 59½: A 10% additional federal tax may apply to the taxable portion of distributions.
- Qualified annuities (IRA/401(k) money): RMD rules generally apply based on the underlying retirement account rules.

Real Limitations

- Liquidity limits: Most fixed annuities are not designed for short-term money needs during the surrender period.
- Opportunity cost: Fixed returns can lag strong market periods.
- Inflation risk: If inflation rises faster than the crediting rate, purchasing power can erode.
- Fees / riders: Optional riders (when offered) can reduce credited interest or add explicit charges.

When a Fixed Annuity Often Fits vs. When It Usually Does NOT Fit

When a Fixed Annuity Often Fits	When It Usually Does NOT Fit
• You want stable, contract-defined growth • You want to lock in predictable income • You have a multi-year time horizon • You want tax deferral on non-qualified funds	• You need near-term liquidity • You're carrying high-interest debt • You haven't funded emergency reserves • You want full market upside or frequent trading flexibility

How Legend Uses Fixed Annuities in a Real Plan

We treat fixed annuities like a tool — not a religion. The question is never “Can we sell one?” The question is “Does it bring order, stability, and stewardship to this client’s plan?”

Legend Framework: 5 Questions We Ask

- Do you have emergency reserves and high-interest debt handled first?
- Is this money truly long-term (multi-year) money you can leave alone?
- Are you prioritizing stable retirement income over maximum upside?
- Do you understand taxes, penalties, and liquidity restrictions before you sign?
- Does the insurer, term, and contract structure match your timeline and risk tolerance?

What We Document

- Time horizon and liquidity needs
 - Source of funds (qualified vs non-qualified)
 - Understanding of surrender charges and MVA (if applicable)
 - Income objective (if income is intended)
 - Insurer strength review and diversification across carriers (when appropriate)
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Educational Disclosure: This guide is for educational purposes and is not a contract, illustration, or carrier-specific recommendation. Product features, riders, rates, surrender schedules, and availability vary by insurer and state. Guarantees are subject to the issuing insurance company's claims-paying ability.